AGM TECHNOLOGY INC.

British Virgin Islands

FINANCIAL SANCTIONS COMPLIANCE POLICY

Aligned with BVI Financial Sanctions Guidelines (Revised December 31, 2024)

Document Type	Financial Sanctions Compliance Policy
Entity	AGM Technology Inc. ("AGM")
Jurisdiction	British Virgin Islands (BVI)
Regulatory Authority	Financial Services Commission (FSC) | BVI
Reference Guidelines	BVI Financial Sanctions Guidelines, Rev. 31 Dec 2024
Policy Version	1.0 – Effective March 2026
Next Review Date	January 2027
Policy Owner	AML Compliance Officer
Approved By	Board of Directors

1. INTRODUCTION AND PURPOSE

AGM Technology Inc. ("AGM") is licensed by the Financial Services Commission of the British Virgin Islands ("BVI FSC") as an investment business under the Securities and Investment Business Act, 2010 ("SIBA"). As a regulated financial institution in the British Virgin Islands ("BVI" or "the Territory"), AGM is fully committed to complying with all applicable financial sanctions laws, regulations, and guidelines.

This Financial Sanctions Compliance Policy ("the Policy") has been developed to ensure AGM meets its obligations under the financial sanctions framework applicable in the BVI, which mirrors the United Kingdom's financial sanctions regime as extended to the Territory through Orders in Council ("OIC"). The Policy must be read alongside AGM's Anti-Money Laundering Compliance Manual (October 2024).

The purpose of this Policy is to:

- Define AGM's obligations under the BVI financial sanctions framework.
- Establish clear procedures for sanctions screening and ongoing monitoring.
- Set out reporting responsibilities when a designated person or sanctions breach is identified.
- Ensure that all employees understand the serious legal consequences of non-compliance.
- Demonstrate to the BVI FSC and relevant competent authorities that AGM maintains a robust sanctions compliance program consistent with the BVI Financial Sanctions Guidelines (Revised 31 December 2024).

2. REGULATORY AND LEGAL FRAMEWORK

2.1 Applicable Legislation

AGM's sanctions obligations arise from several layers of legislation. The following constitute the primary regulatory framework applicable in the BVI:

Legislation	Application to AGM
Sanctions & Anti-Money Laundering Act 2018 (SAMLA)	UK primary legislation extended to BVI via OIC; confers powers to designate persons and impose sanctions measures.
Counter-Terrorism Act, 2021 (CTA)	BVI domestic legislation implementing UNSCR 1267 and 1373; imposes asset freeze obligations and reporting duties on relevant institutions.
Proliferation Financing (Prohibition) Act, 2021 (PFPA)	Prohibits dealings with assets of designated persons related to proliferation financing; requires reporting to FIA.
Anti-Money Laundering Regulations (AMLR)	Requires risk-based AML/CFT/CPF controls including sanctions screening as part of CDD procedures.
AML & Terrorist Financing Code of Practice (AMLTFCOP)	Sets out detailed obligations for sanctions compliance, screening, monitoring, and reporting.
OFAC / US Sanctions	Extra-territorial effect applies to AGM due to USD transactions and US clearing firm relationships.
UN Security Council Resolutions (UNSCRs)	UNSCR 1267, 1373, 1718, 2231 are implemented in BVI through CTA, PFPA and OICs.

2.2 Competent Authorities

AGM must interact with and report to the following competent authorities as applicable:

- The Governor of the BVI – Competent authority responsible for implementing financial sanctions; issues licences and publishes designation lists.
- Virgin Islands Sanctions Unit (SU) – Delegated authority of the Governor; receives Compliance Reporting Forms (CRF) at sanctions@gov.vg.
- Attorney General's Chambers (AGC) – Coordinates sanctions orders, drafts legislation, and issues licences on behalf of the Governor.
- Financial Investigation Agency (FIA) – Receives Suspicious Activity/Transaction Reports (SARs/STRs); supervisory authority with power to freeze assets for 72 hours or 5 days.
- Financial Services Commission (FSC) – AGM's primary regulator; monitors AML/CFT/CPF compliance including sanctions obligations.
- OFAC (US Treasury) – Relevant to AGM due to USD transaction flows and US clearing firm relationship.

3. SCOPE AND APPLICABILITY

This Policy applies to:

- All employees, officers, directors, and contractors of AGM Technology Inc.
- All accounts maintained by AGM, whether self-directed or discretionary segregated portfolios.
- All new and existing clients, beneficial owners, directors, and associated persons.
- All transactions facilitated or arranged by AGM, including wire transfers, securities trades, and third-party transactions.
- All counterparties, including clearing firms and correspondent institutions.

Financial sanctions apply to AGM as a body incorporated under BVI law and regulated by the FSC. AGM is classified as a relevant firm and relevant institution under the applicable OICs and domestic legislation. Given that AGM transacts in US dollars and maintains relationships with US-based clearing firms, OFAC sanctions also apply with extraterritorial effect.

4. WHAT ARE FINANCIAL SANCTIONS?

4.1 Definition

Financial sanctions are restrictive measures imposed by the United Nations Security Council (UNSC) and/or the United Kingdom Government to achieve specific foreign policy or national security objectives. In the BVI context, sanctions implemented through the UK (via SAMLA and OICs) are directly applicable.

The most common forms of financial sanctions include:

- Targeted Asset Freezes – Restrict named designated persons or entities from accessing their funds and economic resources.
- Restrictions on Financial Markets and Services – Including investment bans, restrictions on capital markets access, and prohibitions on financial assistance.
- Directions to Cease Business – Applicable to specific persons, sectors, or countries.

4.2 Key Definitions

The following definitions are relevant to AGM's operations:

Term	Definition
Designated Person (DP)	A person subject to financial sanctions, listed on the OFSI Consolidated List or VI domestic designations.
Funds	Financial assets of every kind including cash, deposits, securities, derivatives, bonds, interest, dividends, letters of credit, and bills of lading.
Economic Resources	Tangible or intangible assets not classified as funds but usable to obtain funds, goods or services (e.g. property, vehicles, precious metals, antiques).
Asset Freeze	Prohibition on dealing with, or making available, funds or economic resources owned, held or controlled by a designated person.
Consolidated List	OFSI's master list of all persons/entities subject to UK financial sanctions, accessible at gov.uk/government/publications/financial-sanctions-consolidated-list-of-targets.
Relevant Institution	A person or body domiciled in the BVI that carries on activities equivalent to regulated activity under the UK Financial Services and Markets Act 2000.
Ownership & Control	An entity is owned or controlled by a designated person if they hold >50% of shares or voting rights, can appoint/remove the majority of directors, or can direct the entity's affairs.

5. ROLES AND RESPONSIBILITIES

5.1 Board of Directors

- Ultimate accountability for AGM's sanctions compliance framework.
- Approve this Policy and all material amendments.
- Ensure adequate resources are allocated to compliance and training.
- Receive annual compliance reporting from the AML Compliance Officer.

5.2 Chief Executive Officer (CEO)

- Responsible for the creation of this Policy in conjunction with the Compliance Officer.
- Present Policy to the Board for approval and monitor its execution.
- Approve senior foreign political figure (PEP) accounts and high-risk transactions.

5.3 AML Compliance Officer (AMLCO)

The AML Compliance Officer is the designated sanctions compliance officer at AGM and holds primary responsibility for:

- Maintaining and updating this Policy and all sanctions procedures.
- Overseeing sanctions screening of all clients, beneficial owners, and counterparties.
- Investigating all potential or confirmed sanctions matches.

- Submitting Compliance Reporting Forms (CRF) to the SU at sanctions@gov.vg.
- Filing Suspicious Activity/Transaction Reports (SARs/STRs) to the FIA.
- Maintaining a register of sanctions matches and actions taken.
- Developing and delivering annual sanctions training to all staff.
- Maintaining records in accordance with the five-year retention requirement.
- Serving as the point of contact for all regulatory communications on sanctions matters.

5.4 Chief Operations Officer (COO)

- Ensure all operational procedures incorporate sanctions compliance requirements.
- Report any potential sanctions breaches to the AMLCO immediately.
- Review accounts and activities of the AMLCO or their family members, if applicable.

5.5 All Employees

- Remain vigilant for potential sanctions concerns in their day-to-day activities.
- Report any suspicions of sanctions issues to the AMLCO immediately.
- Complete required sanctions training and keep up to date with policy changes.
- Never discuss sanctions investigations with clients or external parties.

6. SANCTIONS LISTS AND MONITORING

6.1 Sanctions Lists Consulted

AGM shall consult and screen against the following sanctions lists on an ongoing basis:

- UK Consolidated List (OFSI) – Master list of persons subject to UK financial sanctions: https://www.gov.uk/government/publications/financial-sanctions-consolidated-list-of-targets
- UK Sanctions List (FCDO) – Details of all persons designated under regulations made under SAMLA.
- OFAC SDN List (US Treasury) – Specially Designated Nationals and Blocked Persons List, applicable given AGM's USD transactions and US clearing firm relationships.
- UN Security Council Consolidated List – Persons designated under UNSCRs 1267, 1373, 1718, and 2231.
- FIA Website Sanctions List – https://www.fiabvi.vg/International-Sanctions
- FSC Website Sanctions List – https://www.bvifsc.vg/international-sanctions/about-sanctions
- BVI Official Gazette – For publication of new Orders in Council and amendments.

6.2 List Update Monitoring

The AMLCO shall subscribe to automated alerts for updates to the above lists and ensure the following:

- OFSI Consolidated List updates: Subscribe at https://public.govdelivery.com/accounts/UKHMTREADS/subscriber/new
- FCDO Sanctions List updates: Subscribe at https://public.govdelivery.com/accounts/UKFCDO/subscriber/new

- FIA and FSC websites shall be checked on a regular basis, at minimum weekly, for new designations or regime changes.
- All FSC and FIA email notifications regarding sanctions regime updates shall be actioned immediately.

CRITICAL	Sanctions measures come into force in the BVI without delay — as soon as they come into force in the UK. There is no grace period. AGM must act immediately upon becoming aware of any new designation.

7. SANCTIONS SCREENING PROCEDURES

7.1 Pre-Onboarding Screening

Prior to opening any account or establishing any business relationship, AGM shall screen:

- The prospective client (individual or entity).
- All beneficial owners with 10% or greater ownership interest.
- All directors and authorized signatories (President and Secretary at minimum).
- Any person with control over the account, including via power of attorney.
- The source of funds and source of wealth for any connection to sanctioned jurisdictions or persons.

All screening shall be conducted against the full list of sanctions lists identified in Section 6.1 above. No account shall be opened or business relationship established where a potential match has not been fully investigated and resolved.

7.2 Ongoing Screening

Sanctions screening is not a one-time activity. AGM shall conduct ongoing screening as follows:

- Immediately upon receipt of any update to the Consolidated List or other applicable sanctions list.
- As part of AGM's existing monitoring cycle: Monthly (wire activity), Quarterly (document review), and Annually (document expiry review).
- Upon any material change in the client relationship, ownership structure, or transaction profile.
- Whenever a client requests a transaction that raises a concern or red flag.
- Upon receipt of any notification from the FSC, FIA, or SU regarding an updated designation.

7.3 Ownership and Control Screening

AGM shall apply the following ownership and control rules when screening corporate clients:

- Any entity where a designated person holds more than 50% of shares or voting rights is also subject to financial sanctions.
- Any entity where a designated person can appoint or remove a majority of the board of directors is subject to financial sanctions.
- Joint interests: Where a designated person holds any interest (including a minority interest) jointly with another person in funds or economic resources, those assets shall be treated as owned by the designated person.

- Minority interest: Must be monitored continuously; if a designated person's interest increases to 50% or more, sanctions immediately apply.
- Aggregation: Multiple designated persons' holdings are not simply aggregated unless there is evidence of a joint arrangement or one party controls the rights of another.

7.4 Screening Technology

AGM shall use appropriate screening tools to identify matches against sanctions lists. Where automated screening software is used, it must:

- Be configured to apply fuzzy matching to detect name variations, aliases, and transliterations.
- Screen against all lists identified in Section 6.1.
- Generate alerts for all potential matches for review by the AMLCO.
- Be tested and validated periodically to ensure it remains fit for purpose.

8. HANDLING SANCTIONS MATCHES AND ASSET FREEZES

8.1 When a Potential Match is Identified

Where a sanctions screening check generates a potential match, the AMLCO shall:

- Immediately halt any pending transaction and refrain from providing any service to the potential match until the matter is resolved.
- Gather all available information about the person or entity to determine if it is a true match or a false positive.
- Apply enhanced due diligence including checking aliases, dates of birth, nationality, passport numbers, and addresses against the Consolidated List entry.
- Document all steps taken, including the basis for any conclusion that the match is a false positive.
- Escalate to the CEO for any confirmed or strongly suspected match.

8.2 Confirmed Designated Person – Asset Freeze Obligations

Upon confirming that a person or entity is a designated person, AGM shall without delay:

- Freeze all funds and economic resources owned, held, or controlled by the designated person, including any accounts with the clearing firm held on behalf of the client.
- Cease all dealing with the frozen funds or economic resources.
- Cease making any funds, economic resources, or financial services available directly or indirectly to or for the benefit of the designated person.
- Contact AGM's clearing firm immediately to block the client's assets in accordance with AGM's AML Compliance Manual, Section 10(a).
- Reject any pending or new transactions involving the designated person.
- Submit a Compliance Reporting Form (CRF) to the Sanctions Unit (SU) at: sanctions@gov.vg.
- File a Suspicious Activity Report (SAR/STR) with the FIA.

PROHIBITED ACTIONS	Once an asset freeze is imposed, AGM must NOT: deal with frozen funds in any way; make funds or economic resources available directly or indirectly to the designated person; take any action to circumvent the freeze. A licence from the Governor is required for any exception.

8.3 Crediting of Frozen Accounts

The following are permitted without a licence:

- Crediting a frozen account with interest or other earnings due on that account, provided the credited funds are immediately frozen.
- Crediting a frozen account with payments due under contracts that were concluded before the person became designated, provided the SU is immediately informed.

AGM is not required to inform the SU when crediting an account solely with interest or earnings.

9. REPORTING OBLIGATIONS

9.1 Reporting to the Sanctions Unit (Attorney General)

AGM, as a relevant institution and relevant firm, must report to the SU as soon as practicable if it knows or has reasonable cause to suspect that:

- A person is a designated person.
- A person has committed an offence under financial sanctions legislation.
- AGM is in possession or control of funds or economic resources owned, held, or controlled by a designated person.

Reports to the SU must be submitted via Compliance Reporting Form (CRF) by email to: sanctions@gov.vg. The CRF is available on the FIA website (https://www.fiabvi.vg/International-Sanctions/Guidance-and-Forms) and the FSC website.

The CRF must include:

- The Group ID reference number of the designated person from the Consolidated List.
- The nature, amount, and quantity of funds or economic resources held at the time the suspicion arose.
- The information on which the knowledge or suspicion is based.
- Any information enabling identification of the person.

9.2 Reporting to the FIA

In addition to reporting to the SU, AGM must file Suspicious Activity/Transaction Reports (SARs/STRs) with the FIA when:

- AGM takes any action in respect of a suspected breach of sanctions.
- AGM knows or suspects that a person is engaged in terrorist financing.
- AGM suspects that property is owned or controlled by a designated terrorist entity.
- AGM identifies funds or assets suspected of being related to proliferation financing (under PFPA).

Reports to the FIA must be submitted within five (5) working days from the date the suspicion first arose. The FIA reporting form is available on the FIA website.

9.3 Emergency Notification to Clearing Firm

AGM shall immediately contact its clearing firm when:

- A client or counterparty is listed on or located in an OFAC-listed country or region.
- An account is held by an entity owned or controlled by a person on the OFAC list.
- A client attempts to use bribery, coercion, or other suspicious means to transact.
- AGM has reason to believe a client is attempting to move funds beyond the reach of authorities.
- AGM has reason to believe funds are being used to further an act of terrorism.

10. SANCTIONS RISK ASSESSMENT

AGM shall maintain a sanctions risk assessment as part of its overall AML/CFT risk framework. The risk assessment shall be reviewed at least annually and updated whenever there are material changes to AGM's business, client base, or the applicable sanctions framework.

The following risk factors shall be considered in the sanctions risk assessment:

- Country/Geographic Risk – Whether a client's country of origin, country of domicile, or country of transaction is subject to UN, UK, or OFAC sanctions or embargoes. AGM shall treat any jurisdiction on a financial sanctions list as high risk.
- Client Risk – Whether clients include politically exposed persons (PEPs), state-owned enterprises, clients in high-risk jurisdictions, or clients with complex or opaque ownership structures.
- Transaction Risk – The nature, volume, and complexity of transactions, including large or unusual wire transfers, transactions involving multiple jurisdictions, and transactions with no apparent legitimate business purpose.
- Product and Channel Risk – The types of financial services and accounts offered by AGM, including self-directed accounts and discretionary segregated portfolios.
- Third-Party Risk – The risk posed by clearing firms, custodians, intermediaries, and other counterparties.
- Beneficial Ownership Risk – The risk that the ultimate beneficial owner of an account is a designated person not immediately apparent from the client-facing structure.

11. OFAC / US SANCTIONS – SPECIFIC OBLIGATIONS

Given that AGM transacts in US dollars and maintains relationships with US-based clearing firms, OFAC sanctions have extraterritorial effect on AGM's operations. AGM is exposed to OFAC risk because:

- AGM transacts in US dollars, which pass through US payment chains.
- AGM engages US-based clearing firms and custodians.
- Clients may be US citizens or permanent residents.

The practical consequence of this exposure is that any VI person or entity which provides goods or services to any person on the OFAC SDN List may itself be added to that list. AGM shall therefore:

- Screen all clients and counterparties against the OFAC SDN List as part of standard onboarding and ongoing monitoring.
- Refuse to open or maintain any account where the client appears on or is located in an OFAC-embargoed country or region.
- Contact OFAC at https://home.treasury.gov/policy-issues/financial-sanctions/contact-ofac if AGM knows or reasonably suspects it is dealing with an SDN.
- File a blocked asset or rejected transaction form with OFAC as required.

12. LICENSING

Where a proposed transaction or activity is prohibited by financial sanctions, AGM may not proceed unless:

- A specific exception under the applicable legislation applies automatically (see Section 8.3); or
- A licence is obtained from the Governor of the BVI (with FCDO Secretary of State consent where required under SAMLA).

Common licensing grounds under the BVI sanctions regime include: basic needs of a designated person or dependants; reasonable professional legal fees; fees for routine holding of frozen accounts; extraordinary expenses; prior contractual obligations; and humanitarian assistance.

To apply for a licence, AGM shall:

- Seek independent legal advice prior to submitting an application.
- Complete and submit the Licence Application Form to the SU by email at sanctions@gov.vg.
- Provide full details of the transaction, parties involved, payment route, purpose, and amount.
- Submit the application well in advance; note that it may take several weeks to process.

IMPORTANT	A licence will NOT be issued retrospectively. AGM must not carry out any prohibited action until a licence has been received. Knowingly providing false information in a licence application is a criminal offence.

13. RECORD KEEPING

AGM shall maintain comprehensive records of all sanctions-related activities for a minimum of five (5) years, consistent with the AML record-keeping requirements in AGM's AML Compliance Manual. Records shall include:

- All sanctions screening checks performed, including the lists checked, date of check, and results.
- All potential matches identified, whether true matches or false positives, together with the basis for the determination.
- All Compliance Reporting Forms (CRF) submitted to the SU.
- All Suspicious Activity/Transaction Reports (SARs/STRs) filed with the FIA.
- All actions taken in response to a sanctions match, including asset freezes and account closures.
- The nature, amount, and type of any frozen funds or economic resources.

- All licence applications submitted and licences received.
- Audit trail of any persons who reviewed and authorised treatment of a match as a false positive.
- All training records and completion confirmations.

All records shall be maintained securely and made available upon request to the FSC, FIA, SU, or other competent authority with appropriate authority to request such records. Failure to produce records or providing false documentation is an offence.

14. TRAINING

AGM is committed to ensuring all relevant staff understand their obligations under this Policy. The AMLCO shall:

- Conduct initial sanctions compliance training for all new employees as part of their onboarding.
- Conduct annual refresher training for all existing employees, covering: applicable sanctions laws and regulations; how to screen for and identify designated persons; how to handle a sanctions match; and how and to whom to report.
- Provide targeted training for staff in client-facing and compliance roles.
- Update training materials whenever there are material changes to the sanctions framework.
- Maintain training records for all employees, including completion dates and assessment results.

15. COMPLIANCE MONITORING AND ENFORCEMENT

15.1 Internal Compliance Monitoring

The AMLCO shall monitor AGM's compliance with this Policy on an ongoing basis through:

- Monthly review of wire transfer activity for sanctions flags.
- Quarterly review of all client files to confirm sanctions screening is current.
- Annual review of the Consolidated List against all active client relationships.
- Ad hoc review upon receipt of any new sanctions notice from the FSC, FIA, or SU.

15.2 Sanctions Breach Reporting

If a sanctions breach is identified or suspected, the AMLCO shall:

- Document the breach immediately.
- Notify the CEO and COO.
- Report to the SU immediately using a CRF.
- Report to the FIA by SAR/STR.
- Freeze all relevant assets without delay.
- Cooperate fully with any investigation by the SU, FIA, FSC, or law enforcement.

15.3 Penalties for Non-Compliance

Breaching financial sanctions is a serious criminal offence under BVI law and UK legislation as extended to the BVI. Penalties include:

- Criminal prosecution of AGM and/or responsible individuals.
- Significant monetary penalties.
- Suspension or revocation of AGM's FSC licence.
- Reputational damage and regulatory censure.
- Addition of AGM or its officers to sanctions lists.

WARNING	BREACHING SANCTIONS REQUIREMENTS MAY RESULT IN CRIMINAL PROSECUTION OR MONETARY PENALTY. Circumventing or attempting to circumvent sanctions obligations is itself an offence.

16. CONFIDENTIAL REPORTING AND NON-RETALIATION

Any employee who becomes aware of a potential sanctions breach or violation of this Policy shall report it to the AMLCO immediately and in confidence. If the suspected breach involves the AMLCO, the report shall be made directly to the COO.

AGM prohibits any form of retaliation against employees who report genuine concerns in good faith. Confidential reports shall be kept separate from general personnel records.

17. POLICY REVIEW AND APPROVAL

This Policy shall be reviewed at least annually by the AMLCO and submitted to the Board of Directors for approval. The Policy shall also be reviewed and updated promptly upon:

- Any material change in applicable sanctions legislation or BVI sanctions guidelines.
- Any new regulatory guidance from the FSC, FIA, SU, OFSI, or FCDO.
- Any material change in AGM's business, client base, or product offerings.
- Any internal audit finding or regulatory inspection identifying deficiencies.

18. APPROVAL AND ATTESTATION

Role	Name / Signature / Date
AML Compliance Officer	Name: ____________________________ Signature: _______________________ Date: _____________________________
Chief Executive Officer	Name: ____________________________ Signature: _______________________ Date: _____________________________
Chief Operations Officer	Name: ____________________________

	Signature: ______________________ Date: ___________________________
Board of Directors Chairperson	Name: ___________________________ Signature: ______________________ Date: ___________________________

ANNEX A – KEY REGULATORY CONTACTS

Authority	Contact	Purpose
VI Sanctions Unit (SU)	sanctions@gov.vg Tel: 1-284-468-2960	CRF submission; sanctions breach reporting; licence applications
Financial Investigation Agency (FIA)	www.fiabvi.vg SAR/STR Portal	SAR/STR reporting; suspicious activity; FIA investigations
Financial Services Commission (FSC)	www.bvifsc.vg	Regulatory supervision; consolidated list updates; sanctions regime notifications
OFAC (US Treasury)	https://home.treasury.gov/policy-issues/financial-sanctions/contact-ofac	SDN match reporting; blocked asset/rejected transaction forms
OFSI (UK HM Treasury)	www.gov.uk/ofsi	Consolidated List queries; UK sanctions general guidance

ANNEX B – SANCTIONS SCREENING CHECKLIST

The AMLCO shall complete this checklist at onboarding and upon any material update to applicable sanctions lists.

Screening Step	YES	NO	Comments/Action
Client name screened against OFSI Consolidated List	☐	☐	
Client name screened against OFAC SDN List	☐	☐	
Client name screened against UN Consolidated List	☐	☐	
All beneficial owners (>10%) screened	☐	☐	
All directors and authorized signatories screened	☐	☐	
Source of funds / source of wealth reviewed for sanctioned country links	☐	☐	
Corporate ownership structure reviewed for designated person control (>50%)	☐	☐	
Client country of origin/residence reviewed against embargoed countries	☐	☐	
Clearing firm notified of any flags	☐	☐	

Results documented and filed by AMLCO	☐	☐	

Screened by (AMLCO): ________________________________ Date: ________________

Client / Account: ____________________________________ Ref. No: ______________